Corporation 6% Convertible Preferred previously referred to (Chap. 23). After its issuance in 1928, the common stock received successive stock dividends of 100 and 200%. The conversion price was accordingly first cut in half (from $118 to $59 per share) and then again reduced by two-thirds (to $19.66 per share).

A much less frequent provision merely reduces the conversion price to any lower figure at which new shares may be issued. This is, of course, more favorable to the holder of the convertible issue.[1]

Protection Against Dilution Not Complete. Although practically all convertibles now have antidilution provisions, there have been exceptions.[2] As a matter of course, a prospective buyer should make certain that such protection exists for the issue he is considering.

It should be borne in mind that the effect of these provisions is to preserve only the principal or par value of the privileged issue against dilution. If a convertible is selling considerably above par, the *premium* will still be subject to impairment through additional stock issues or a special dividend. A simple illustration will make this clear.

A bond is convertible into stock, par for par. The usual antidilution clauses are present. Both bond and stock are selling at 200.

Stockholders are given the right to buy new stock, share for share, at par ($100). These rights will be worth $50 per share, and the new stock (or the old stock "ex-rights") will be worth 150. No change will be made in the conversion basis, because the new stock is not issued below the old conversion price. However, the effect of offering these rights must be to compel immediate conversion of the bonds, since otherwise they would lose 25% of their value. As the stock will be worth only 150 "ex-rights," instead of 200, the value of the unconverted bonds would drop proportionately.

The foregoing discussion indicates that, when a large premium or market profit is created for a privileged issue, the situation is vulnerable to sudden change. Although prompt action will always prevent loss through such changes, their effect is always to terminate the effective

---

[1] See Appendix Note 37 for an example (Consolidated Textile Corporation 7s, due 1923).

[2] See Appendix Note 38 for an example (American Telephone and Telegraph Company Convertible 4½s, due 1933).